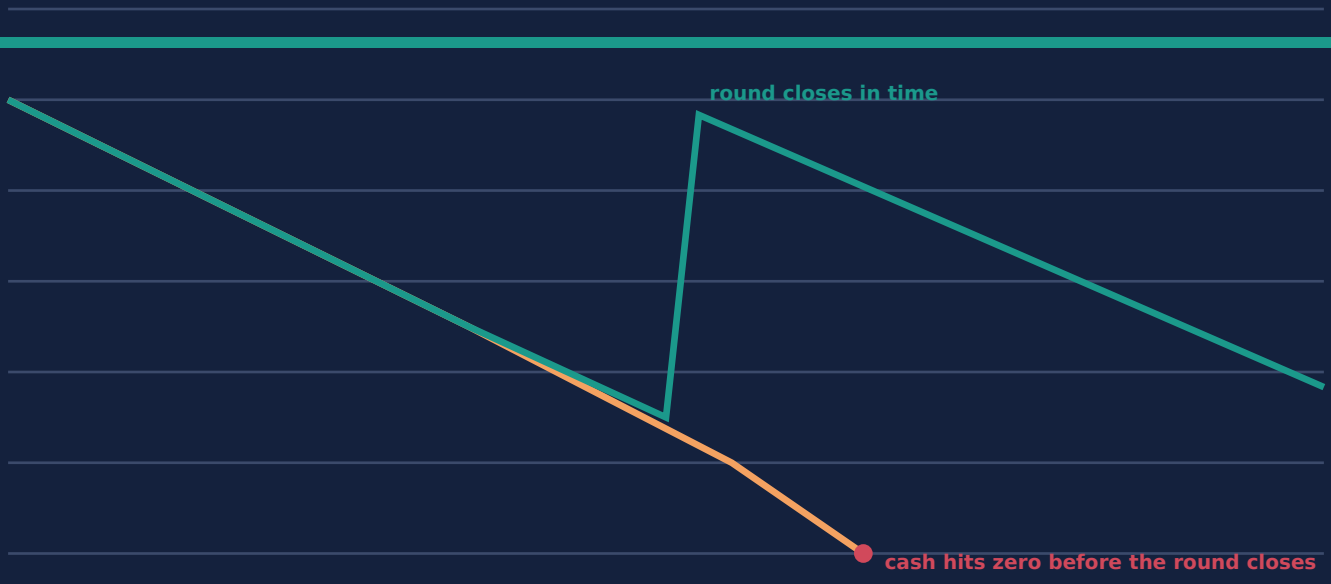
Funding-Delay Stress Testing

How an LLM-powered model measures what happens when a startup's next round is late, small, or never comes

A PLAIN-ENGLISH GUIDE | RISKS, SCENARIOS, MODEL DESIGN, CHARTS



Version 1.0 | November 2026 | For investors, founders, analysts and engineers

All numbers in this guide are illustrative examples. Calibrate with your own data before use.

READ THIS FIRST

What this is, in one page

Startups do not usually die because nobody likes the idea. They die because the money runs out before the next money arrives. Every startup lives on a clock called *runway*: the number of months it can keep paying its bills with the cash it has. To stay alive it must raise a new round before that clock hits zero. A **funding-delay stress test** asks one blunt question: *what if the next round is late, smaller than planned, or never comes?*

The simplest way to think about it

A bank stress test asks: "What if the economy crashes, will the bank survive?" A fire drill asks: "If the alarm rings, can everyone get out in time?" **This model is a fire drill for startup investments.** It does not predict the future. It rehearses many bad futures, so that investors and founders can see which companies would survive and which would not, and prepare before it is too late.

The core idea in three lines

	Question	Plain answer
1	How long can the company live?	**Runway** = cash in bank / monthly net burn
2	How long until the next money arrives?	**Time-to-close** = planned time + delay (investor slow, market shut, milestones missed...)
3	Does it get there alive?	**Survives only if** Runway > Time-to-close, **and** the round actually closes

What makes this an 'LLM' stress test?

The arithmetic above is simple. The hard part is the messy real world: a founder leaves, a lead investor goes quiet, a customer churns, a currency collapses, a tranche is not released. These facts live in pitch decks, board notes, emails and news, not in a spreadsheet. A **large language model (LLM)** can read that unstructured material, spot which risks apply to this company, choose and size the right scenarios, and explain the result in plain words. A separate, ordinary **math engine** then does all the numbers so that the results are repeatable and auditable.

Golden rule of the design

The LLM reads, reasons and explains. The code calculates. Never let a language model do the final arithmetic or invent probabilities without a source. That is how you keep the system trustworthy.

Who should read what

If you are...	Start with	Then
Non-technical investor or founder	Sections 1 to 5 (the problem, the risks, the scenarios)	Section 9 (results) and 10 (playbook)
Fund manager / portfolio lead	Sections 2, 5, 7 (ladder, heat map, investor-side risk)	Section 9 (portfolio impact)
Data scientist / engineer	Section 8 (architecture, schemas, prompts)	Appendix (formulas, validation)

SECTION 1

The problem: cash, time, and the gap between them

Imagine a startup with $2.4 million in the bank, spending $150,000 a month more than it earns (its **net burn**). It has 16 months of runway. It plans to raise a $6 million round and expects the money in month 12, with four months to spare. That looks safe. Now see what a delay does.

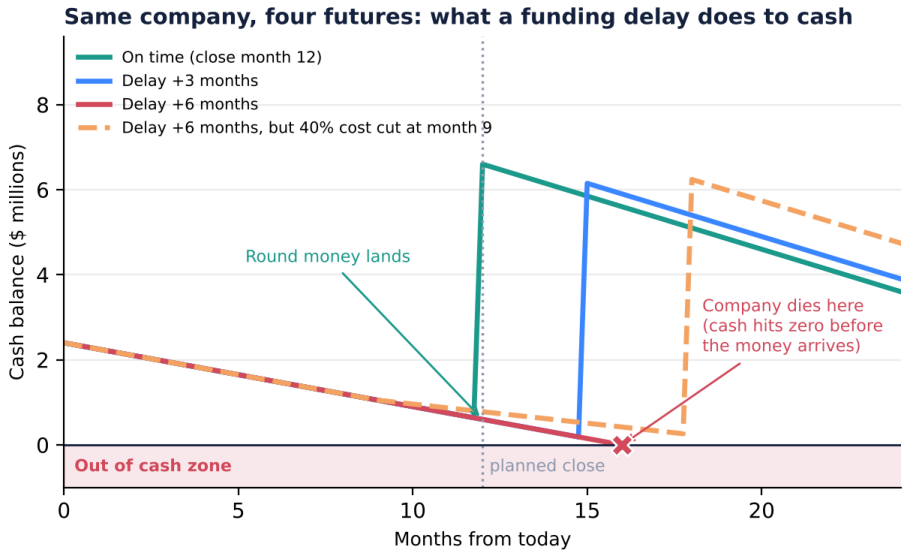


Figure 1. Same company, four futures. A 3-month delay leaves almost no cash. A 6-month delay is fatal, unless the team cuts costs early (amber dashed line). Numbers are illustrative.

Why a few months of delay is so dangerous

- **The buffer is thin.** Most startups plan to arrive at the next round with only 3 to 6 months of cash left. Any delay eats the whole buffer.
- **Delay raises burn pressure.** Teams keep hiring in good faith while waiting. Then they must cut sharply, which slows growth and weakens the next pitch.
- **Delay is a signal.** Investors read a long raise as a sign that others said no. That makes the next investor more cautious. Delay feeds itself.
- **Terms get worse.** A founder with 6 weeks of cash has no bargaining power. Expect lower valuation, harsh terms, or a rescue loan.

Three possible endings of every fundraise

A. Closes on time	B. Closes late or smaller	C. Does not close
Cash arrives with buffer. Company continues. Investor is diluted as planned.	Company survives but pays a price: bridge loan, down round, layoffs, lost momentum.	Cash runs out. Wind-down, fire-sale acquisition, or total loss for investors.

A stress test measures **how likely B and C are**, how costly they are, and **what early actions move you back toward A**.

The three key formulas (no maths degree needed)

Runway (months) = Cash / Net monthly burn
Funding gap ($) = Net burn x max(0, Time-to-close - Runway) (the bridge you would need)
Survival = the round closes AND Runway >= Time-to-close

SECTION 2

The funding ladder and where delays hide

Venture-backed startups climb a ladder of rounds. Each rung needs new investors to say yes, and between rungs the company must survive on the cash it has. The most dangerous gap is usually **Seed to Series A**: the company has spent its seed money, and investors now want proof (revenue, retention) instead of a vision.



Each arrow is a fundraise. Every fundraise takes months, and the company must survive the wait.

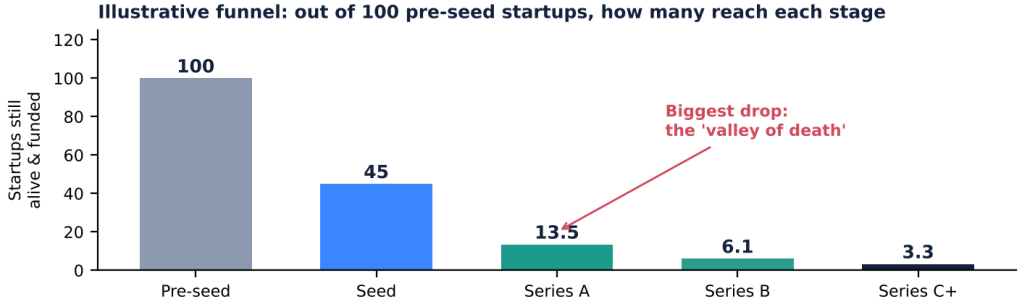


Figure 2. The funding ladder and an illustrative survival funnel. Real graduation rates vary by year, region and sector; replace these with your own cohort data.

A fundraise is not one event, it is six

Delay does not appear in one big lump. It creeps in at every step. An LLM that reads investor emails and board updates can see which step a company is stuck in, which is why it adds value beyond a plain spreadsheet.

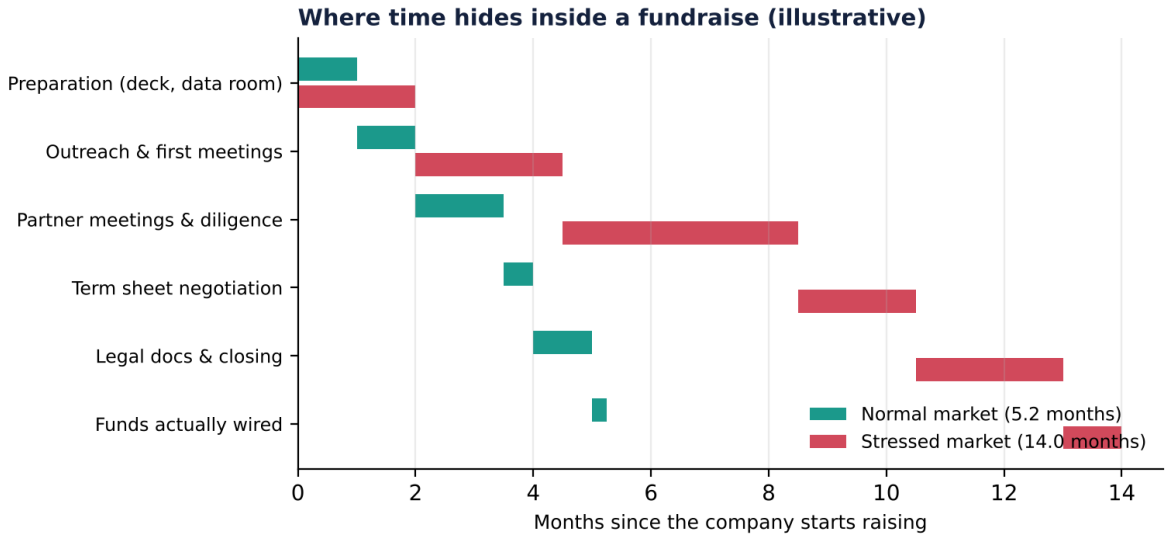


Figure 3. In a stressed market each phase stretches. Diligence and term-sheet negotiation usually stretch the most.

SECTION 3

The risk map: everything that can go wrong

To stress test properly we first list the risks. We group them into six families. A real failure is almost never from one family alone; it is a chain that crosses families (see Section 6).

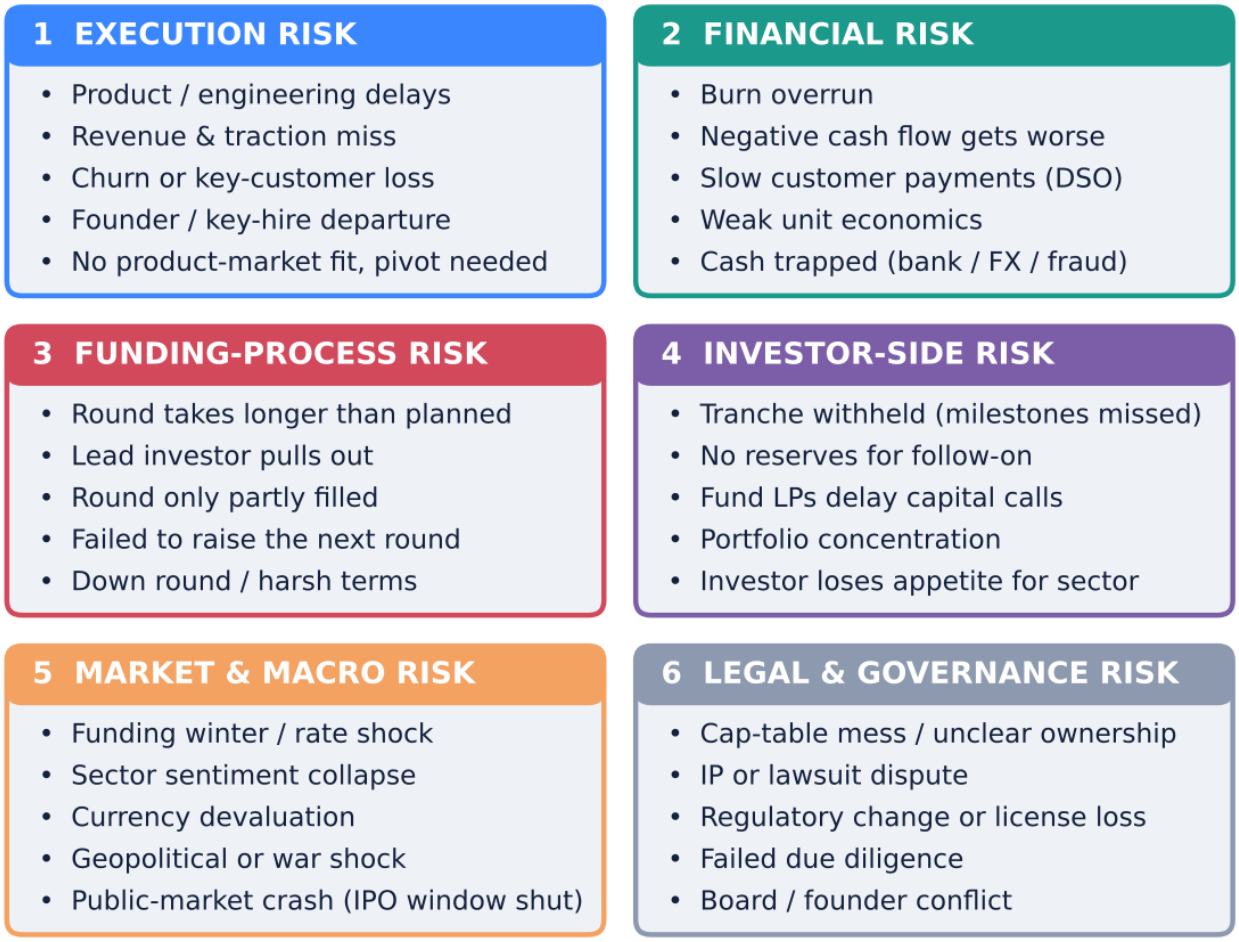


Figure 4. Six families of risk that can delay, shrink or cancel the next round.

The six families in plain words

Family	What it means	Example
1. Execution	The company does not build or sell what it promised.	Launch slips 6 months, so revenue targets are missed and Series A investors lose interest.
2. Financial	Money goes out faster or comes in slower than planned.	Customers pay in 90 days instead of 30. Cash is tight even though sales look fine.
3. Funding process	The round itself stalls, shrinks or fails.	Lead investor withdraws after diligence. The rest of the syndicate follows.
4. Investor-side	The investors (not the startup) cannot or will not complete.	A promised second tranche is withheld because a milestone was missed; fund has no reserves.
5. Market and macro	The outside world shuts the funding window.	Interest-rate shock. Local currency loses 40% against the dollar.
6. Legal and governance	Paper problems block or poison the deal.	Unclear IP ownership found in diligence. Co-founder dispute.

SECTION 4

The scenario library: 19 stress scenarios

A **scenario** is a specific story with numbers attached: what happens, how it changes the funding timeline, and how it changes cash. The library below is the model's 'menu'. For each company, the LLM selects the ones that fit, and the math engine runs them. Shock sizes shown are **default starting values** to be tuned per company and sector.

ID	Scenario	What happens	Funding effect	Default shock
S1	Product delay	Launch or key feature slips by two quarters.	Traction milestone missed, round pushed back.	Delay +4 to 6 mo
S2	Traction miss	Revenue grows at 50% of plan.	Weak metrics, fewer investors engage, lower valuation.	Delay +3 mo, P(no round) +10 pts
S3	Churn spike / key-customer loss	One customer is >25% of revenue and leaves.	Revenue drops, story breaks mid-process.	Revenue -25%, delay +3 mo
S4	Founder or key-hire exit	CTO or co-founder leaves, or founders fall out.	Investors pause or pull out. Product risk.	Delay +4 mo, P(no round) +15 pts
S5	No product-market fit	Customers try it but do not stay. Pivot required.	Round only possible after the pivot proves out.	Delay +9 mo, P(no round) +30 pts
S6	Burn overrun	Costs 30% higher than budget (hiring, cloud, ads).	Runway shortens without any investor delay.	Burn +30%
S7	Negative cash flow worsens	Collections slow (DSO up), prepayments dry up.	Cash falls faster than the P&L suggests.	Burn +15%, DSO +30 days
S8	Weak unit economics	CAC rises, gross margin falls.	Investors doubt scalability, value drops.	Delay +3 mo, valuation -20%
S9	Cash trapped	Bank failure, frozen account, fraud, capital controls.	Cash exists on paper, cannot be used.	Available cash -30 to -100%
S10	Round takes longer	Diligence extended, partner meeting rescheduled.	Pure timing delay, no change in outcome.	Delay +2 to 4 mo
S11	Lead investor withdraws	Term sheet pulled or lead goes quiet.	Restart the process with a smaller pool.	Delay +5 mo, round size -30%
S12	Failed to raise next round	No investor commits at any price.	Only bridge, sale or wind-down remain.	P(no round) 60 to 85%
S13	Down round / harsh terms	Valuation falls, with liquidation preferences or ratchets.	Money arrives, but with heavy dilution.	Dilution 35 to 50%
S14	Tranche not completed	Milestone-based investment is not released, or the investor cannot complete its commitment.	Cash expected from existing investor does not arrive.	Expected inflow -50 to -100%
S15	Funding winter	Rates rise, venture funding falls sharply.	Everyone's raise is slower and smaller.	Delay x2, P(no round) +20 pts
S16	Sector falls out of favour	Investors turn away from the company's sector.	Fewer interested funds, lower multiples.	Delay +4 mo, valuation -30%
S17	Currency shock	Local currency devalues, USD costs jump.	Burn in local currency rises, valuation in dollars falls.	Burn +20 to 40%
S18	Regulatory / geopolitical shock	License loss, sanctions, conflict, new regulation.	Investors freeze or exit the market.	Delay +6 mo, P(no round) +20 pts
S19	Perfect storm	Several shocks together, e.g. S2 + S6 + S15.	Shocks reinforce each other.	Correlated combination

Colour code: blue = execution, teal = financial, red = funding process, purple = investor-side, amber = market / legal, navy = combined.

SECTION 5

Severity ladder and heat map

Running all 19 scenarios on every company would be noise. So we group the shocks into four **stress levels**. The same company is tested at each level to find **its breaking point**: the weakest level at which it no longer survives.

The four stress levels used by the model

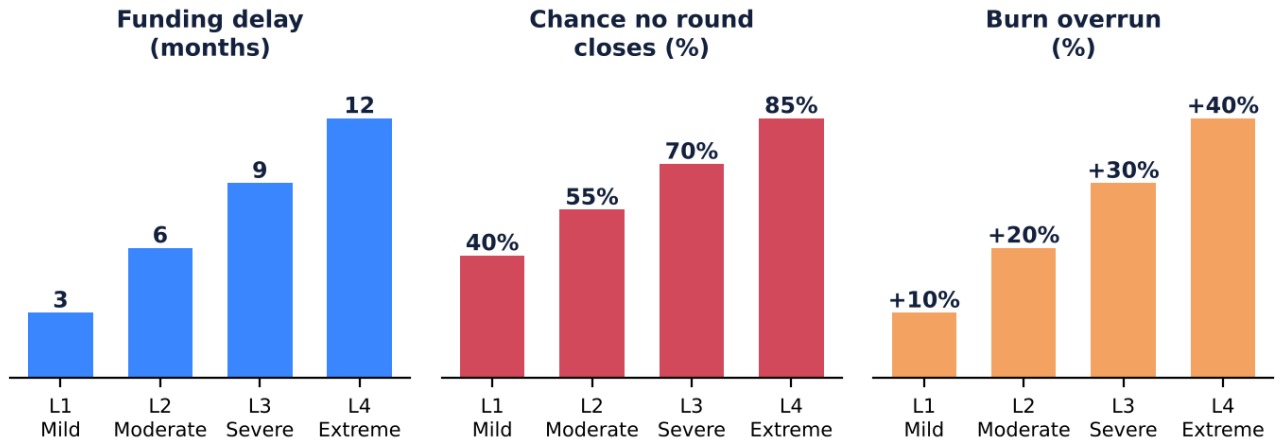


Figure 5. Four stress levels. Level 1 is a normal slow quarter. Level 4 is an extended funding winter.

Level	Story	Delay	No round	Burn	Meaning for investor
L1 Mild	Slow quarter, investors busy	3 mo	40%	+10%	Healthy company should pass. Fail = very fragile.
L2 Moderate	Missed targets, tighter market	6 mo	55%	+20%	Normal planning case for a seed company.
L3 Severe	Funding winter plus a company miss	9 mo	70%	+30%	Only companies with strong buffers or revenue pass.
L4 Extreme	Perfect storm (S19)	12 mo	85%	+40%	Used to size portfolio reserves and the worst case.

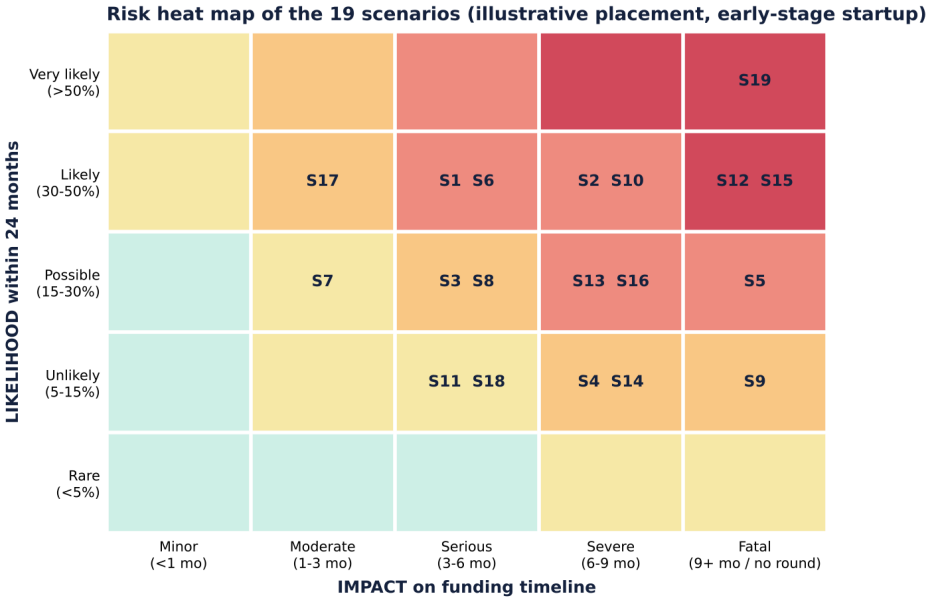


Figure 6. Where each scenario sits for a typical early-stage startup. Top-right cells (S12, S15, S19) need the most attention.

SECTION 6

Chain reactions: why one problem becomes five

Stress tests that only apply one shock at a time are too optimistic. Real failure is a **feedback loop**. The model therefore links scenarios: when one fires, it raises the chance and size of the others.

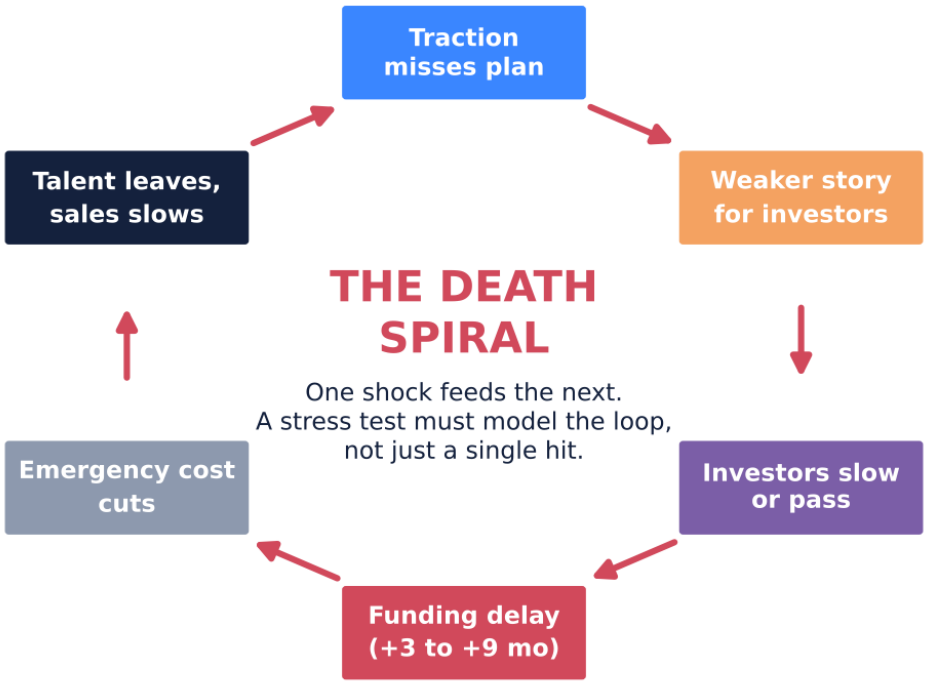


Figure 7. The death spiral. Funding delay triggers cost cuts, which weaken the product and the team, which makes the next raise even harder.

Common chains the model encodes

Trigger	Chain	Net effect
Traction miss (S2)	S2 -> weaker deck -> S10 slow round -> S6 burn overrun while waiting	Runway shrinks from both ends
Funding winter (S15)	S15 -> S11 lead withdraws -> S13 down round -> S4 founder morale / exits	Late, small, expensive round
Currency shock (S17)	S17 -> S6 USD burn up -> S16 sector discount -> S12 no round	Emerging-market specific
Investor-side (S14)	S14 tranche withheld -> S7 cash gap -> emergency bridge -> S13 punitive terms	Insider cash fails exactly when needed
Governance (legal)	Failed diligence -> S11 lead exits -> restart -> S10 + S15 compounding	Time lost cannot be recovered

How the model handles correlation

Scenario shocks are not independent dice rolls. We draw them from a **shared market factor**: in a bad market all delays stretch together, and the chance of no round rises for every company at once. That is why portfolios fail together, and why reserves matter (Section 7).

SECTION 7

The investor's view: negative cash flow, incomplete follow-on, dilution

The stress test matters just as much to the investor as to the founder. A delay hurts the investor in four distinct ways:

- **Survival risk.** The company dies and the investment is lost.
- **Dilution.** The company survives, but only after a bridge, down round or recap that shrinks your percentage (Figure 8).
- **Follow-on shortfall ('investing not completed to next round').** You planned to invest again, but either the company missed the milestone for the next tranche, or your own fund lacks reserves. You are then diluted and cannot defend your stake.
- **Time risk (IRR drag).** Cash is trapped longer, so even a good outcome returns less per year.

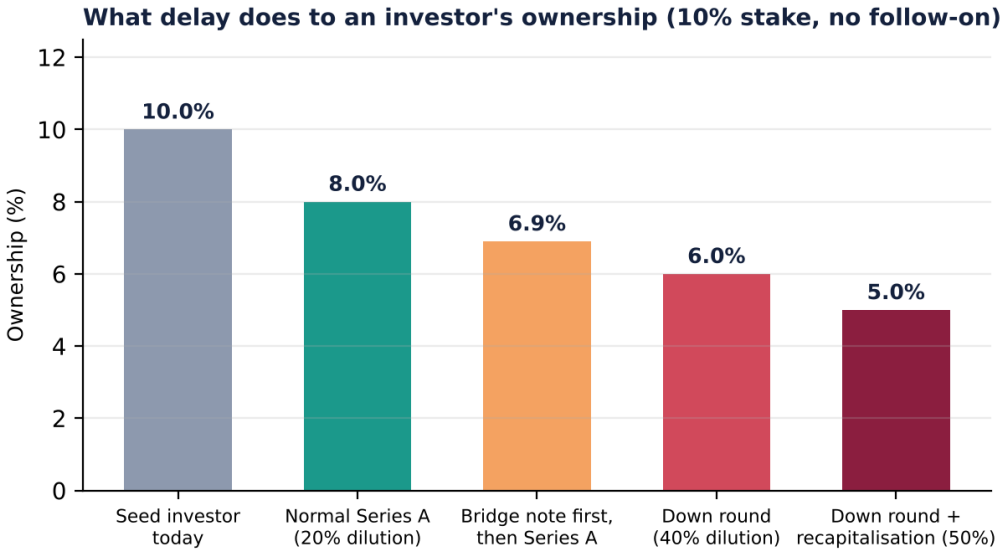


Figure 8. A 10% stake after different outcomes of the next round. Each step of delay costs ownership even if the company survives.

Tranche and follow-on logic the model tests

Situation	Question the model asks	Output
Milestone-based tranche	If the milestone slips by N months, is the tranche still released? Can the company bridge the gap?	Cash gap, probability of release
Pro-rata right	If we want to keep 10% in the next round, how much cash do we need, and do we have it in reserve?	Reserve required vs available
Bridge note	How much dilution does a convertible note (cap, discount, interest) cause if the round slips?	Ownership after bridge
Portfolio concentration	If 30% of companies need a bridge in the same quarter, can the fund cover it?	Portfolio reserve ratio
Negative cash flow of the fund	Capital calls vs follow-on needs vs LP payment timing	Fund liquidity runway

Reserve rule of thumb used in the model

Hold enough reserve to follow on in the companies that pass Level 2 (Moderate) but would fail Level 3 (Severe) without help. These are the companies where fresh capital is most valuable and most likely to be needed.

SECTION 8

How the LLM stress test works

The system has five steps. Three involve the LLM, one is pure code, and a human reviews the result. Notice that the **numbers never come from the LLM's memory**: it passes structured parameters to the engine and reads the results back.

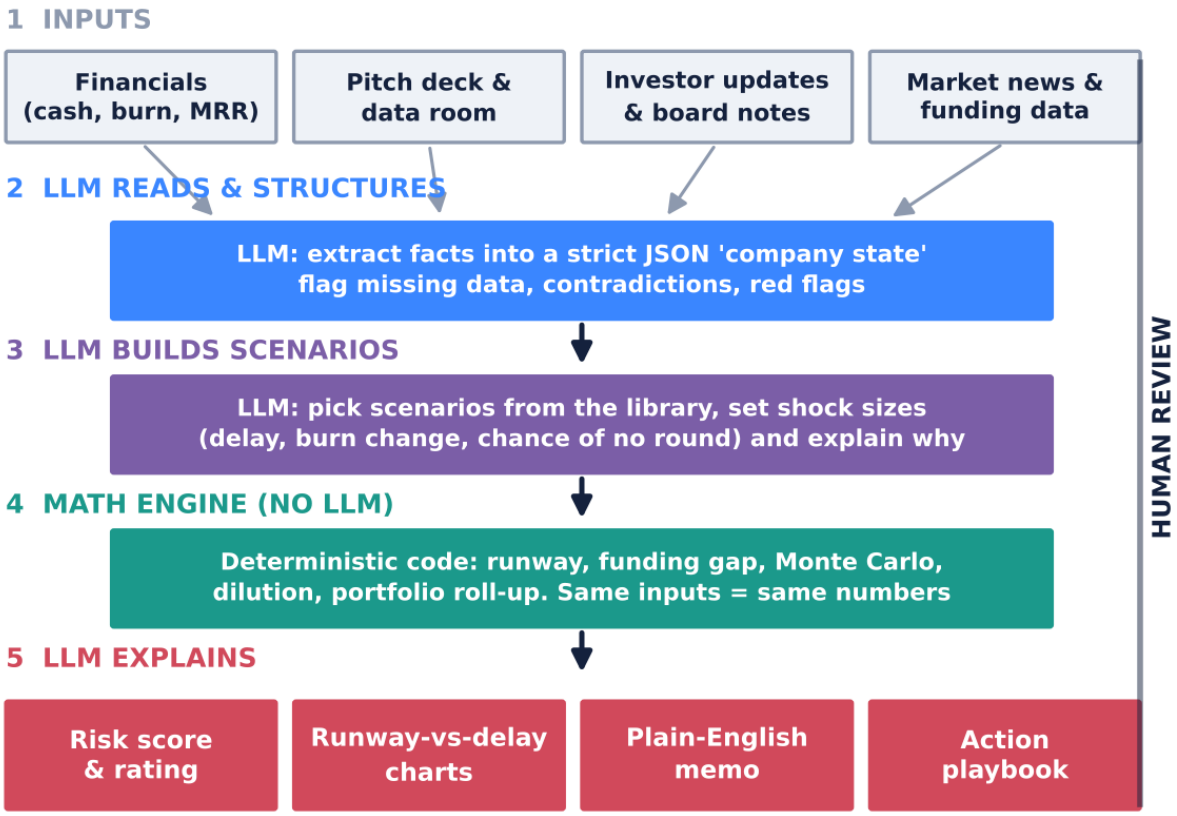


Figure 9. System architecture. Human review wraps the whole pipeline.

Who does what

Task	LLM	Deterministic code
Read decks, emails, board notes	Yes. Extract structured facts.	
Spot red flags, contradictions	Yes.	
Choose relevant scenarios and shock sizes	Yes, from the approved library, with reasons.	Validates ranges
Runway, funding gap, Monte Carlo, dilution	No.	Yes. Reproducible.
Probability numbers	Never invents them.	Calibrated from data you supply
Write the memo and recommendations	Yes, using only the engine's numbers.	Checks every number quoted

Example: input, prompt, output

1. Company state the LLM extracts (strict JSON schema)

```
{
  "company": "ExampleCo", "stage": "Seed", "currency": "USD",
  "cash": 2400000, "net_burn_monthly": 150000,
  "planned_raise": {"amount": 6000000, "target_close_month": 12},
  "revenue_mrr": 45000, "mrr_growth_3m_avg": 0.06,
  "top_customer_share": 0.31,
  "insiders_can_bridge": true,
  "flags": ["CTO notice period mentioned in board notes",
            "lead investor reply time rising: 3d -> 11d"],
  "missing": ["receivables ageing"]
}
```

2. Prompt skeleton for scenario selection

```
SYSTEM: You are a startup risk analyst. Use ONLY the scenario IDs in the
library (S1-S19). Never compute final numbers. Output valid JSON only.
Every chosen scenario needs: id, reason (quote the evidence), shock values
within the allowed ranges, confidence (low/med/high).
If evidence is missing, list it under "missing" rather than guessing.

USER: <company_state JSON> <scenario_library JSON> <market_regime JSON>
TASK: pick the 5-8 most relevant scenarios and size them.
```

3. What the LLM returns (then the engine runs it)

```
{"scenarios": [
 {"id": "S4",  "reason": "CTO notice period in board notes", "delay_mo": 4,
  "p_no_round_add": 0.15, "confidence": "med"},
 {"id": "S3",  "reason": "top customer = 31% of revenue", "revenue_shock": -0.31,
  "delay_mo": 3, "confidence": "high"},
 {"id": "S10", "reason": "lead investor replies slowing", "delay_mo": 3,
  "confidence": "med"}],
 "market_regime": "tight"}
```

4. Engine output the LLM then explains

Metric	Base	Level 2	Level 3
Runway at today's burn	16.0 mo	13.3 mo	12.3 mo
Expected time-to-close	12 mo	18 mo	21 mo
Survives without bridge?	Yes (4 mo buffer)	No (gap = 4.7 mo)	No (gap = 8.7 mo)
Bridge needed	$0	about $0.85M	about $1.7M
Survival probability (Monte Carlo)	high	moderate	low

Guardrails that keep the LLM honest

- **Closed scenario library.** The LLM can only pick from approved IDs and approved ranges. No free-form invented risks in the numbers.
- **Schema validation.** Every LLM output is checked against a JSON schema. Invalid output is rejected and retried.
- **Evidence quotes.** Each chosen scenario must cite the sentence or data point that triggered it. No evidence, no scenario.
- **Numbers only from the engine.** The memo generator receives a table of results and may not quote any number not in the table. A checker verifies this automatically.
- **Confidence and missing data.** The model reports what it could not verify instead of guessing.
- **Human review.** An analyst approves the scenario set before it is run, and can override any shock.
- **Versioning and logging.** Store prompt, model version, inputs and outputs for audit. Same input should give the same result.

What the LLM should NOT do

- Predict whether a particular startup will 'succeed' as a single number from vibes.
- Make up probabilities, base rates, or market statistics.
- Replace the investment committee's judgment. It supports the decision, it does not make it.

Sources of input data

Source	What it gives	Notes
Accounting / bank feeds	Cash, burn, receivables, payables	Most reliable. Refresh monthly.
Investor updates, board decks	Plans, milestones, hiring, mood	LLM extracts; flag stale documents.
Data room and cap table	Terms, preferences, notes, reserves	Needed for dilution maths.
CRM / fundraising pipeline	Investor responses, stage, replies	Early signal of delay (S10, S11).
Market data and news	Round counts, valuations, time-to-close by sector	Sets the market regime.

SECTION 9

What the simulation shows

Instead of one future, the engine simulates **40,000 versions of a typical seed startup per market type**, each with random runway, burn overrun, time-to-close and a chance that no investor commits. The survival rate is the share that reach the next round alive. The assumptions are listed in the Appendix.

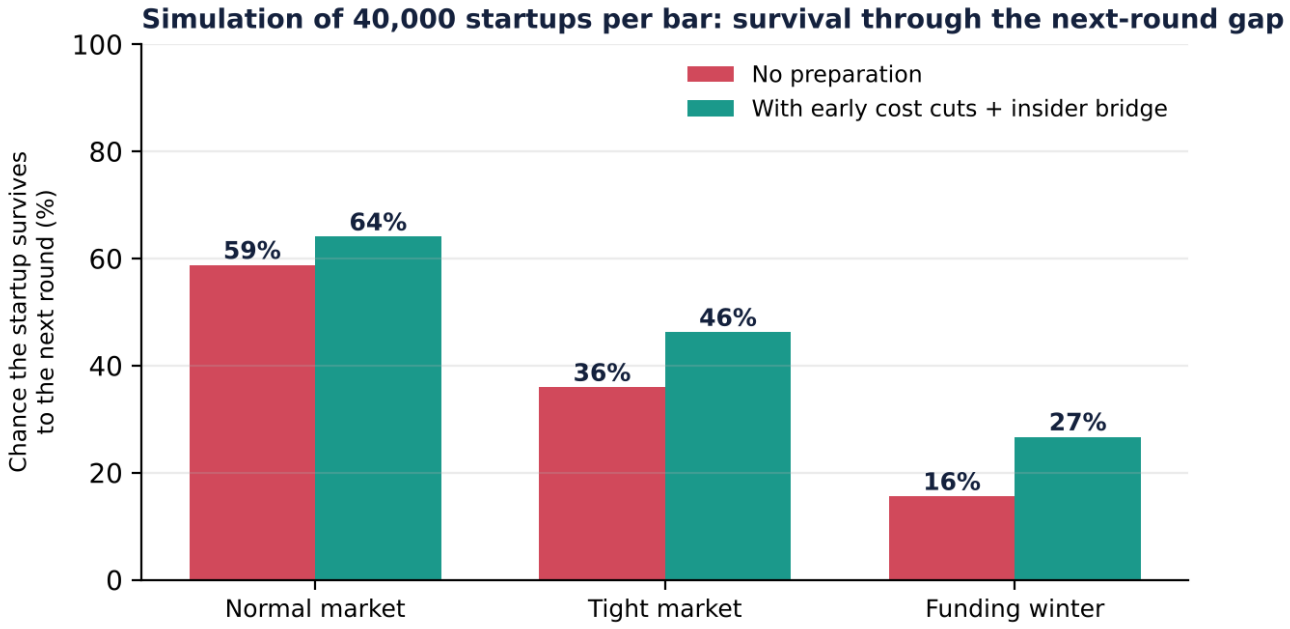


Figure 10. Survival falls from about 59% to 16% as markets tighten. Early preparation lifts survival by roughly 10 points in a tight market. Illustrative assumptions.

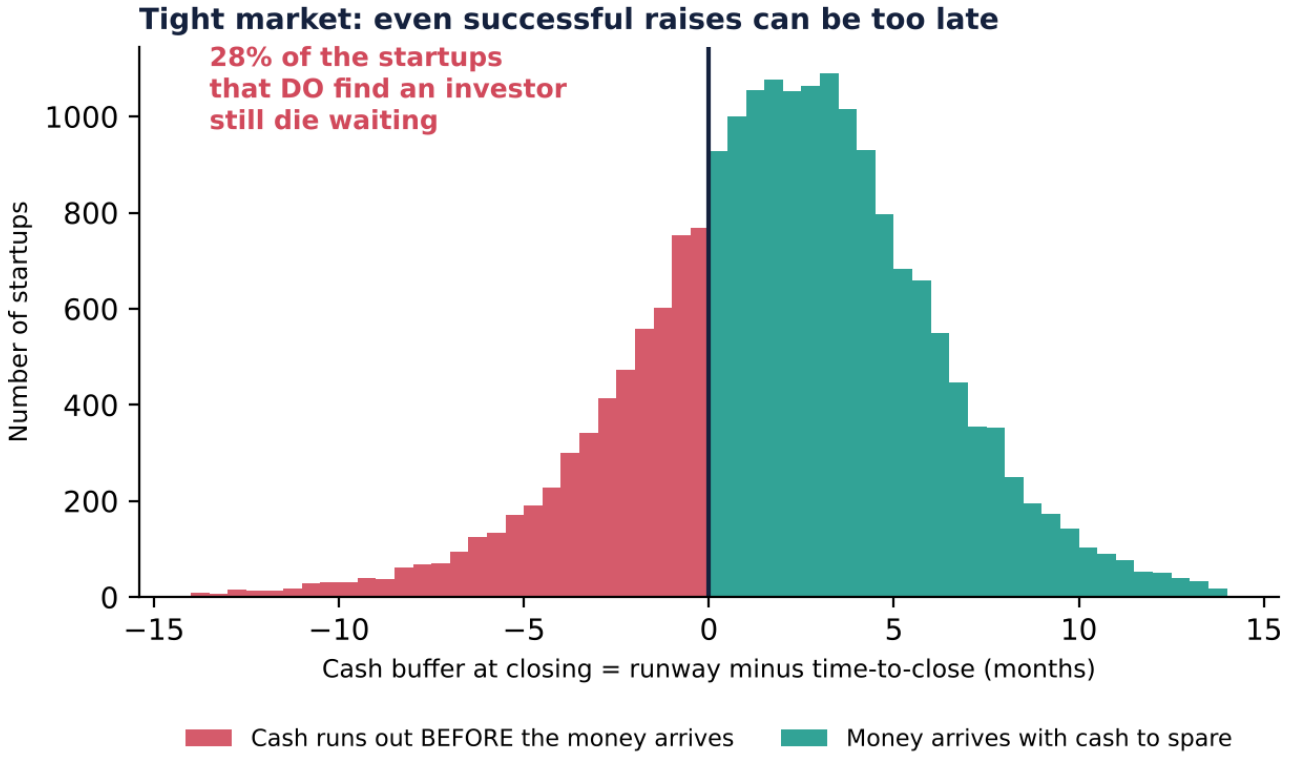


Figure 11. In a tight market, about 28% of startups that do find an investor still run out of cash first. Timing, not just demand, decides survival.

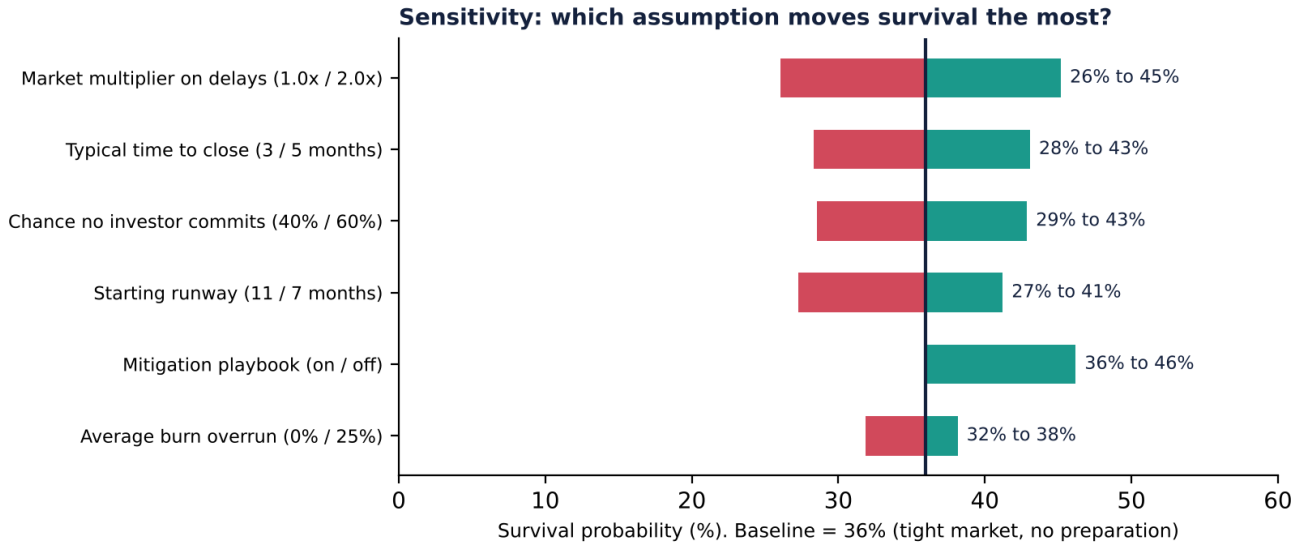


Figure 12. Sensitivity (tornado) chart. Longer bars mean the assumption matters more. Time-to-close, starting runway and investor appetite dominate; this is why runway discipline and early fundraising matter more than perfect forecasting.

How to read the results

- **Preparation pays.** Early cost cuts plus an insider bridge raise survival from 36% to 46% (tight market) and from 16% to 27% (funding winter).
- **Starting runway is the biggest lever you control.** Raising with 11 months in the bank instead of 7 changes survival by more than any single operating improvement.
- **Preparation does not fix a dead market.** In a funding winter even prepared startups mostly fail, so the investor should size reserves for a few strong survivors, not for everyone.
- **Per-company outputs**: breaking-point level (L1 to L4), expected bridge size, survival probability, expected dilution, and the three actions that raise survival most.

Portfolio roll-up (how the fund sees it)

Fund-level metric	Meaning	Why it matters
% of portfolio failing at L2 / L3	Share of companies that cannot bridge the delay	Sizes the reserve and the workload for the team
Expected reserve call	Sum of expected bridge needs of the companies worth saving	Compare with reserves available
Expected ownership after stress	Weighted dilution if the fund follows or does not follow	Shows the cost of not having reserves
Correlated loss	Loss when the market factor goes bad for all companies at once	Diversification does not help against a funding winter

SECTION 10

Early warning signs and the mitigation playbook



Figure 13. Runway zones. The fundraising clock should start when the company is still in the OK or COMFORTABLE zones.

Early-warning indicators the LLM watches for

Indicator	Green	Amber	Red
Months of runway	12+	6 to 9	under 4
Investor reply time in the pipeline	under 3 days	4 to 7 days	over 10 days or silence
Revenue growth vs plan	at or above plan	70 to 90% of plan	under 60% of plan
Burn vs budget	within 5%	+10 to 20%	over +25%
Top-customer concentration	under 15%	15 to 30%	over 30%
Key-person risk	none	notice, rumours	departure, founder dispute
Tranche milestones	on track	one slipping	missed with no cure date
Market tone (round counts, valuations)	stable	cooling	freezing

Mitigation playbook: what to do and when

Lever	When to pull it	Typical effect	Cost / catch
Start raising earlier	Runway under 12 months	Adds the buffer that absorbs delay	Distraction, need metrics early
Cut burn 20 to 40%	As soon as an amber signal appears	Extends runway by 25 to 65%	Slower growth, morale
Insider bridge (note)	Round slipping, company still healthy	Buys 3 to 6 months	Dilution, signalling risk
Raise in tranches / extend round	Lead found, syndicate slow	Money arrives sooner	More paperwork
Revenue-based or venture debt	Predictable revenue	Non-dilutive extension	Repayments raise burn
Collect faster, pay slower	Negative cash flow, DSO rising	Releases working capital	Customer friction
Milestone re-plan with investors	Tranche at risk	Re-sets conditions before breach	Needs honest early talk
Strategic sale or merger	Round unlikely (L3+)	Preserves value vs wind-down	Lower valuation
Reserve for follow-on (fund)	Portfolio planning	Defends ownership in best companies	Capital held back

SECTION 11

Validation, limits and how to build it

How to know the model is good

Test	Method	Pass looks like
Back-test	Run the model on past cohorts at the date of their raise. Compare with what happened.	Higher predicted risk goes with real failures
Calibration	Of companies given 30% survival, do about 30% survive? Use Brier score.	Predicted probabilities match actual rates
Scenario coverage	Do experts find real failures that no scenario describes?	Few uncovered failure causes
LLM extraction accuracy	Compare extracted fields with human-labelled documents.	Over 95% on core fields (cash, burn, dates)
Hallucination check	Auto-check every number in the memo against the engine table.	Zero unsourced numbers
Stability	Re-run the same company with small wording changes.	Same scenarios, same ratings

Honest limits

- **Garbage in, garbage out.** If the burn or cash numbers are stale, the output is wrong however clever the model is.
- **Base rates are assumptions.** The default probabilities here are examples. Replace them with your own cohort data, by stage, sector and region.
- **Rare events are hard.** Real crises are unlike the past. Keep the extreme levels (L4) as thinking tools, not forecasts.
- **Soft factors are noisy.** Founder quality and team morale are hard to measure from text. The LLM reports them as flags with confidence, not as hard numbers.
- **Privacy and confidentiality.** Company data is sensitive. Use enterprise-grade LLM access, no training on your data, access controls and audit logs.

Build roadmap

Phase	Weeks	What you build	Result
1. Spreadsheet core	1 to 3	Runway, funding gap, four stress levels in code. No LLM.	Trusted, explainable engine
2. Monte Carlo and dilution	3 to 6	Simulation, correlation via market factor, bridge and down-round maths.	Probabilities, ownership outputs
3. LLM extraction	6 to 9	Documents to JSON with schema validation and evals.	Less manual data entry
4. LLM scenario selection and memo	9 to 12	Closed library, evidence quotes, memo with number checker.	Plain-English reports
5. Portfolio view and monitoring	12 to 16	Fund roll-up, live early-warning alerts, dashboards.	Ongoing risk monitoring
6. Calibration and back-testing	ongoing	Tune with real outcomes, retire weak scenarios, add new ones.	Improving accuracy

APPENDIX

Formulas, assumptions, glossary and checklist

A. Formulas

Name	Formula
Net burn	Cash out - cash in per month (negative operating cash flow plus capex)
Runway (months)	Cash / Net burn, using the stressed burn: Burn x (1 + overrun)
Effective runway with mitigation	Runway / (1 - cost cut %) + months bought by bridge
Time-to-close	Planned months x market multiplier + scenario delays
Cash buffer at close	Runway - Time-to-close (negative means dead before closing)
Funding gap	Net burn x max(0, Time-to-close - Runway)
Survival	1 if (round closes) and (Runway >= Time-to-close), else 0
Survival probability	Average of Survival over many random draws (Monte Carlo)
Dilution after a round	New ownership = Old ownership x (1 - new shares / post-round shares)
Bridge note dilution	Roughly note amount / (cap valuation) at conversion, before the new round's own dilution

B. Assumptions behind the simulation in this guide

Parameter	Value used
Starting runway when raising begins	Log-normal, average 9 months (spread 30%)
Burn overrun	Normal, mean +10%, st. dev. 15%
Time to close	Log-normal, median 4 months x market multiplier (1.0 normal, 1.5 tight, 2.2 winter)
Chance no investor commits	35% normal, 50% tight, 65% winter
Mitigation playbook	30% cost cut once stress is detected; 50% chance an insider bridge adds 3 months
Simulation size	40,000 startups per market type; fixed random seed for repeatability

These are teaching assumptions. They are not statistics about the real market.

C. Glossary

Term	Plain meaning
Runway	How many months the company can pay its bills with current cash.
Burn / net burn	Money lost per month after revenue is counted.
Bridge round / note	A small, quick loan or investment that buys time until the real round.
Down round	A round at a lower valuation than the previous one. Heavy dilution.
Dilution	Your ownership percentage shrinks when new shares are issued.
Pro-rata right	The right to invest enough in the next round to keep your percentage.
Tranche	A part of an investment paid out in stages, often on milestones.
DSO	Days sales outstanding: how many days customers take to pay.
Monte Carlo	Running a model thousands of times with random inputs to see the range of outcomes.
Stress test	Deliberately pushing a model into bad conditions to find where it breaks.

Term	Plain meaning
LLM	Large language model: AI that reads and writes text. Here it reads documents and writes explanations.
Calibration	Checking that '30% chance' events really happen about 30% of the time.

D. Checklist for a stress test run

Step	Action	Done
1	Confirm cash, burn and the planned raise date from the latest accounts (not last quarter's deck).	[ ]
2	Set the market regime (normal / tight / winter) from recent round counts and time-to-close in the sector.	[ ]
3	Let the LLM extract the company state; review the 'missing' list and fix gaps.	[ ]
4	Let the LLM propose 5 to 8 scenarios with evidence; the analyst approves or edits shock sizes.	[ ]
5	Run the engine at Levels 1 to 4 and the approved company scenarios.	[ ]
6	Record the breaking-point level, survival probability, bridge size and dilution.	[ ]
7	Check the memo: every number must match the engine table.	[ ]
8	Pick actions from the playbook: earlier raise, cost plan, insider bridge, reserve.	[ ]
9	Share with the founder; agree triggers (e.g. 'under 9 months runway starts the cost plan').	[ ]
10	Re-run monthly, or on any red early-warning signal. Log the results for back-testing.	[ ]

Remember

A stress test is not a prediction. Its value is the **conversation and the action plan** it creates months before the cash runs out, while there are still options on the table.